

ITC Limited - Equity Research & DCF

September 2026 | Ayush Chakraborty

Executive summary

The model is formula-driven, ties segment forecasts to consolidated revenue and EBIT, uses a transparent liquid-financial-assets bridge and includes an explicit WACC / terminal-growth sensitivity. Under the central assumptions, the illustrative DCF is ₹362.8 per share versus the ₹263.50 reference price used in the analysis, a 37.7% gap. This is a scenario output rather than a price target or investment recommendation.

Historical inputs

Metric	FY26 input
D&A	₹1,710.53cr
PAT attributable to owners	₹20,689.47cr
Inventory	₹18,622.96cr
Net working capital	₹16,906.27cr

Forecast construction

The five-year forecast begins from FY26 segment revenue and PBIT. Segment revenue is projected separately, intersegment eliminations are applied explicitly, other operating revenue is added, and segment PBIT is bridged to consolidated operating EBIT through a corporate / unallocated operating contribution.

FY	Revenue (₹cr)	EBIT (₹cr)	FCFF (₹cr)
FY27E	96,654.3	27,080.4	18,465.6
FY28E	104,023.4	29,503.8	20,229.7
FY29E	111,410.9	32,079.4	22,135.8
FY30E	118,470.7	34,567.5	24,041.3
FY31E	125,437.1	37,248.0	25,922.5

Valuation

Component	Central case
PV explicit FCFF	₹83,784.4cr
PV terminal value	₹344,153.2cr
Enterprise value	₹427,937.6cr
Valuation adjustments	₹26,648.6cr
Equity value	₹454,586.2cr
Shares outstanding	1,252.95cr
Illustrative value/share	₹362.8

Central assumptions: 9.5% WACC, 4.5% terminal growth, 25% tax rate, D&A at 1.9% of revenue, capex at 2.6%, and NWC / revenue declining from 18.7% in FY27E to 18.0% by FY31E.

Exploratory regression

The sample contains 64 supplied monthly ITC/NIFTY return observations from May 2021 to August 2026. RBI policy-rate changes use published dates; September 2026 is excluded because the report date falls within the month.

Term	Coefficient	HC1 SE	p-value
Intercept	-0.000649	0.006457	0.919946
Repo change	0.112253	0.026771	0.0000275
NIFTY return	0.951274	0.146506	8.41e-11

$R^2 = 0.3682$. The analysis is exploratory and does not establish causality. The supplied return observations are not independently certified because underlying price observations, corporate-action adjustments and extraction timestamps were not supplied.

Sources & limitations

- ITC quarterly results: <https://itcportal.com/investors/quarterly-results.html>
- ITC Q1 FY27 media statement:
<https://itcportal.com/media-centre/press-releases/media-statement-financial-results-for-the-quarter-ended-30th-june-2026.html>
- RBI policy statements: <https://rbi.org.in/>
- SOTP and forward-P/E cross-checks are omitted because dated peer multiples and a fully sourced forward earnings bridge were not available for independent validation.

Independent research for portfolio / educational purposes - not investment advice.